

87 times the earnings that Wall Street's analysts estimated the company would produce in 2000.

How credible was that estimate? Nortel's accounts receivable—sales to customers that had not yet paid the bill—had shot up by \$1 billion in a year. The company said the rise “was driven by increased sales in the fourth quarter of 1999.” However, inventories had also ballooned by \$1.2 billion—meaning that Nortel was producing equipment even faster than those “increased sales” could unload it.

Meanwhile, Nortel's “long-term receivables”—bills not yet paid for multi-year contracts—jumped from \$519 million to \$1.4 billion. And Nortel was having a hard time controlling costs; its selling, general, and administrative expense (or overhead) had risen from 17.6% of revenues in 1997 to 18.7% in 1999. All told, Nortel had lost \$351 million in 1999.

Then there was Nortek, Inc., which produces stuff at the dim end of the glamour spectrum: vinyl siding, door chimes, exhaust fans, range hoods, trash compactors. In 1999, Nortek earned \$49 million on \$2 billion in net sales, up from \$21 million in net income on \$1.1 billion in sales in 1997. Nortek's profit margin (net earnings as a percentage of net sales) had risen by almost a third from 1.9% to 2.5%. And Nortek had cut overhead from 19.3% of revenues to 18.1%.

To be fair, much of Nortek's expansion came from buying other companies, not from internal growth. What's more, Nortek had \$1 billion in debt, a big load for a small firm. But, in February 2000, Nortek's stock price—roughly five times its earnings in 1999—included a healthy dose of pessimism.

On the other hand, Nortel's price—87 times the guesstimate of what it might earn in the year to come—was a massive overdose of optimism. When all was said and done, instead of earning the \$1.30 per share that analysts had predicted, Nortel lost \$1.17 per share in 2000. By the end of 2002, Nortel had bled more than \$36 billion in red ink.

Nortek, on the other hand, earned \$41.6 million in 2000, \$8 million in 2001, and \$55 million in the first nine months of 2002. Its stock went from \$28 a share to \$45.75 by year-end 2002—a 63% gain. In January 2003, Nortek's managers took the company private, buying all the stock from public investors at \$46 per share. Nortel's stock, meanwhile, sank from \$56.81 in February 2000, to \$1.61 at year-end 2002—a 97% loss.